year. The statement shows receivings from the world and the payments to the world basically shown in the current and the capital accounts. This statement is based on the principles of *accounting* – similar to the *balance sheet* of a company. It might turn out to be positive or negative. If it is negative and the economy is incapable to pay it, this is known as a BoP crisis. In such situations, the IMF remains as the last source of rescue.

- India had to rely on emergency operations from abroad to cope up with periodic BoP crises in 1973, 1979, 1981, and 1991. But after the economic reform process started, the situation started to improve.

As India started 'opening up' after 1991, as the part of the external sector reforms, its BoP has become *favourable* with each succeeding year. *Major policies* in this direction could be summed up as given below:

(i) Steps in the direction of opening the economy for healthy levels of foreign investments (FIs)—FDI as well as the (FIIs).

(ii) Optimum levels of convertibility to rupee in the current and the capital accounts.

(iii) Accelerated disinvestment of the prospective PSUs—including 'strategic sale' to the foreign bidders, too.

(iv) Follow up of LERMS (Liberalised Exchange Rate Mechanism System) in 1992–93.

(v) Modifications in the FERA – FEMA

(vi) Prudential management of the financial market with inputs of the required kind of reforms– money market, banking, insurance, stock markets, etc.

(vii) Required kind of trade policy, etc.

Q. 12 Write a note on the role played by the stock market in the development of the economy in India.

Ans. Aspirations of higher development could only be possible once higher growth rate is maintained. For higher growth rate, we need higher investment. As India had opted industry as its 'prime moving force' of the economy, the fund was managed by 'project financing' institutions. When